# EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

## Board Overview

John M. Quinn | Cofounder & CEO, Exos Aerospace

October 10, 2026

*CONFIDENTIAL — DRAFT — NEGOTIATING TERMS*

The Decision

# The Board is asked to vote on four motions today.

*That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.*

**Motion 1:** §3 exclusivity — 90-day window begins on board approval (May 2025 AAA)
**Motion 2:** Full read-only QB Online access for diligence (Cal. Corp. Code §1602 + AAA §4; under 7/27/2021 NDA)
**Motion 3:** Correct AR Unbilled & Deposits accounting within 5 days (A La Carte + outside CPAs)
**Motion 4:** Consent to ERP/MRP & inventory evaluation using QB data (confidential under NDA)

# Where SSLC Stands Today

**$590K**

**Cash at 10/11**

One IM payment 10/7

**$713K**

**Last quarter revenue**

Most recent reported quarter

**~$1.46M/qtr**

**Required to hit $5.1M**

M1 milestone threshold

*$590K cash at 10/11 came largely from one Intuitive Machines payment on 10/7 for start-billed tanks; a $5.1M year still requires ~2× last quarter's pace starting now. With $1.03M of debt, equity of −$1.44M, and physical-space and single-winder constraints, Exos's offer removes the funding risk and gives SSLC holders direct upside.*

# SSLC Capital & Debt: What's on the Books

## WHAT INVESTORS PAID IN

| | |
|---|---|
| Common stock (Acct 3010) | $1,010,423 |
| APIC (Acct 3020) | $4,042 |
| Total paid-in capital | **$1,014,465** |
| Exos: 18.06% → $789,572 | **~78% of above** |
| Accum. deficit (thru FY26) | **−$2,571,013** |
| FY27 YTD net income (10/11) | **+$112,666** |
| Total equity (10/11/2026) | **−$1,443,882** |

## WHAT SSLC OWES (10/11/2026)

| | |
|---|---|
| Loans & notes (total) | **$1,027,783** |
| Due to Microcosm (Acct 2385) | **$451,429** |
| Notes Payable – Bookstore | **$320,582** |
| SBA EIDL (Acct 2712) | **$132,072** |
| Wertz loan (Acct 2714) | **$92,500** |
| Exos loan (11%; stands) | **$31,200 (~$38K+int)** |
| Total liabilities (10/11) | **$1,296,521** |

## OPEN ITEMS (Exos assessment pending reconciliation via Motion 2)

"Billed-ahead" balance: $942,177 booked as of 10/11. Exos's assessment: overstated — SSLC bills IM ~40% at tank start; those start-billings appear not cleared at shipment. Est. ~$100–200K genuinely in progress. Reconciliation requested via Motion 2. | Facility costs since Jan 2024: ~$805K (rent $725K + other; doubled to ~$23.6K/mo Jul 2024). Never charged back to Microcosm on SSLC's books.

*per SSLC QuickBooks 10/11/2026; Exos billed-ahead assessment pending reconciliation*

# What SSLC Holders Receive

| | |
|---|---|
| Cash at close | **$2.51M** |
| SSLC transaction costs | **$60K** |
| Exos stake credit (non-cash) | **$790K** |
| | |
| Working-capital bridge | **$500K** |
| **① Cash at close — target by Feb 15th** | **$3.86M** |
| + Exos equity — EAI units at 409A (Rule 504, ~0.59%) | **$1.0M** |
| **② Total at financing close (SSLC asset acquisition)** | **$4.86M** |

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

# How Value Grows: Earn-Outs & Milestones

| Earn-Out | Target SSLC Must Hit | Low | Base | High | Pays |
|---|---|---|---|---|---|
| 5% of IM tank revenue/yr cap $300K/yr, FY27–FY31 | Revenue SSLC achieves each year FY27–FY31 | $3.0M/yr →$150K/yr →$750K total | $5.0M/yr →$250K/yr →$1.25M total | $6.0M+/yr →$300K/yr (cap) →$1.5M total | Annual FY27–FY31 |
| M1 SSLC FY27 rev ≥$5.1M →$200K | Annual rev ≥$5.1M in FY27 | ✓ | ✓ | ✓ | FY28 Q1 |
| M2 Nebula OTV flight tank set delivered & accepted by IM →$200K | Tank set delivered and accepted by Intuitive Machines | — | ✓ | ✓ | At acceptance |
| M3 SSLC annual rev ≥$10M →$250K | Annual rev ≥$10M | — | ✓ | ✓ | Est. FY29 |
| M4 SSLC annual rev ≥$20M →$250K | Annual rev ≥$20M | — | — | ✓ | Est. FY31 |
| M5 50% reduction in tank build cost (dome & build-process automation proven) →$200K (High) | 50% cost reduction proven (dome & process automation) | — | — | ✓ | Est. FY27–28 |
| Exos stock earn-out at RTO listing (adds to ~0.59% EAI up-front) | Issued at RTO listing | $0 (0.0%) | $625K (0.25%) | $1,500K (0.50%) | Post-RTO ~FY29 |
| **TOTAL EARN-OUTS (③ minus ②)** | | **$950K** | **$2,525K** | **$4,100K** | **5-yr total** |

# Total Offer Value

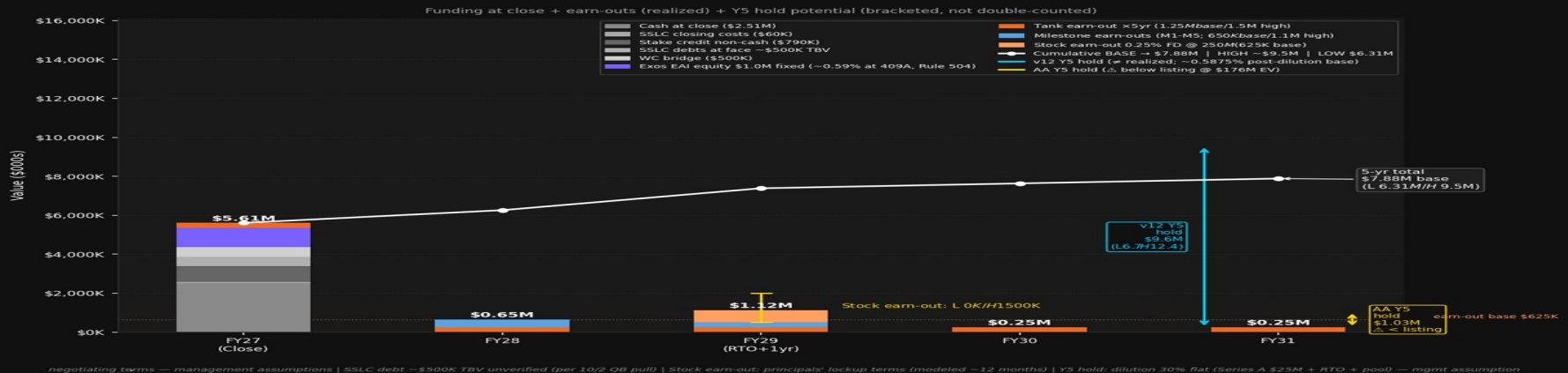
## ③ 5-Year Total (earn-outs realized)

| Low | Base | High |
|---|---|---|
| $5.8M | $7.4M | $9.0M |
| 5-yr realized | 5-yr realized | 5-yr realized |

## ④ If Exos Stock Held to 2031 (projection)

| Low | Base | High |
|---|---|---|
| $11.5M | $15.3M | $18.9M |
| if held to 2031 | if held to 2031 | if held to 2031 |

*④ is a forward-looking projection, not a guarantee; an alternative to ③ — not added to it. RTO may not close.*




*negotiating terms — management assumptions | SSLC debt ~$500K TBV unverified (per 10/2 QB pull) | Stock earn-out: principals' lockup terms (modeled ~12 months) | Y5 hold: dilution 30% flat (Series A $25M + RTO + pool) — mgmt assumption*

# The Exos Stock

### Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

### Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

### Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

### Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

### Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

### Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

# SSLC Employees

## Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

## Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

# Exos Funding Commitments

| | |
|---|---|
| **$2.51M cash** | at financing close (target Feb 15th) |
| **SSLC transaction costs** | at financing close (target Feb 15th) |
| | |
| **Working-capital bridge $500K** | at financing close (target Feb 15th) |
| **$1.0M Exos stock (EAI units, Rule 504)** | at financing close (target Feb 15th) |
| **Capital in the new year — physical space and a second winder** | (amount TBD; committed at financing close) |
| **Employment offers + option pool** | at financing close (target Feb 15th) |
| **Earn-outs on milestones and tank revenue** | FY27–FY31 as triggered |

**One decision today: confirm §3 exclusivity → 90 days → financing close target Feb 15th**

# Board Motions

## 1 Confirm §3 Exclusivity (May 2025 Asset Acquisition Agreement)

Approve a 90-day exclusivity period beginning on the date of this approval.
Extension not unreasonably withheld (per §3). Allows both parties to proceed to diligence, definitive agreement, and financing close (target: Feb 15th, 2027).

☐ Approve
☐ Decline

## 2 Grant Full Read-Only QuickBooks Online Access for Diligence

Authorize an all-access or accountant user for John Quinn and one Exos finance reviewer.
Purpose: reconcile the $942K "billed-ahead" balance and shared-facility costs before close.
Basis: Cal. Corp. Code §1602 director inspection right + AAA §4 confirmatory diligence.
Also provide: stock ledger, cap table, subscription agreements, and paid-in capital by shareholder (books: $1,014,465 total paid-in; need per-holder to compare payout vs. invested).
**Confidential under the 7/27/2021 NDA. Access to be granted no later than October 15, 2026.**

☐ Approve
☐ Decline

## 3 Correct AR Unbilled / Customer-Deposit Accounting Within 5 Days

Direct A La Carte Solutions (bookkeeper) + Singer Lewak / Welch & Co. to reconcile and correct:
- Acct 1110 AR Unbilled ($942,177) and Acct 2380 Deposits ($120,000) within 5 days of approval.
- Clear start-billings on completed/shipped tanks; post missing Jul–Sep 2026 rev-rec entries.
- Tank-by-tank reconciliation (IM-109/122/134, EXOS-133) + corrected balance sheet to all directors.

☐ Approve
☐ Decline

## 4 Consent to ERP/MRP & Inventory Evaluation (Separate Motion)

Authorize Exos to use the same QB data to evaluate its in-house ERP/MRP and inventory systems for the combined operation. Confidential under the NDA.
Does not create any obligation to implement; evaluation only.

☐ Approve
☐ Decline

*Governance: John Quinn abstains on all motions as an interested director; motions are decided by the disinterested directors.*

# Path to Close

1. **Board Votes — Four Motions**
   Today — action requested at this meeting
2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins
3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized
4. **Financing Close — target Feb 15th**
   Cash at close + EAI units issued; ① + stock = ②
5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

**The Board is asked to vote on Motions 1–4. Questions and open items welcome.**